FORMER OXFORD HEALTH HQ (RIVERS EDGE)

Trumbull, Fairfield County, CT · 193 units (103 IL · 60 AL · 30 MC) · 17.6 acres · 75 min to Midtown

Recommendation: Downside: fee development only. Even with the PILOT and a GMP, the combined downside loses money for an owner. Only a nonprofit sponsor structure holds breakeven, with ATCO earning about a $4.8M development fee. Pursue it as fee development or as GC.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · PILOT
$105.7M	**$42.3M · $63.4M**	**6.61%**

LEVERED IRR · MULTIPLE	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
8.8% · 1.37x	**$15.6M**	**$4.98M**

THESIS

- **Approvability.** Town decided the use after 3-yr process incl. appeal; adaptive reuse. Opposition risk is low (verify approval validity).
- **Deal route.** Buy or JV with Senior Living Development (De Pecol). Owner paid ~$3.4M (2018); entitled value est. ~$40k/unit x 193.
- **Need and rents.** Need 62, rent support 68 and approval 88 on a 100-point scale.
- **Returns.** 6.61% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $123.8M on trended NOI of $8.05M. Max land at the floor is −$0.1M against a $7.7M basis.

SOURCES AND USES

Land	$7.70M
Hard cost	$61.71M
Site work	$3.92M
Contingency	$3.28M
FF&E	$4.25M
Soft cost	$13.12M
Construction interest	$5.39M
Lease-up reserve	$6.37M
Total uses	**$105.74M**
Equity, 40% (LP 90% / GP 10%)	$42.30M
Construction loan, 60% LTC	$63.44M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	24 mo
Lease-up to stabilization	24 mo
Site control to sale	**57 mo**

TEAM

Operator, first call	Epoch (memory-care component)
Operator, second	Benchmark (21 CT communities)
General contractor	C.E. Floyd Company (alternate KBE Building Corporation)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	6.61%	4.8%	8.8%	1.37x	$15.6M
Rents −10%	5.93%	1.0%	1.9%	1.07x	$3.0M
Hard costs +10%	6.14%	2.2%	4.2%	1.16x	$7.4M
Exit cap +50 bps	6.61%	2.2%	4.2%	1.16x	$6.9M
Lease-up +6 months	6.52%	4.1%	7.7%	1.37x	$15.8M
Combined downside	**5.43%**	**-3.4%**	**-7.5%**	**0.72x**	**−$12.8M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 5.43% and the levered IRR to -7.5%, a $12.8M loss on a sale at stabilization.

STRUCTURING THE DOWNSIDE

> **Recommended: Fee development for a nonprofit.** No ownership structure holds breakeven. It works only as fee development: a nonprofit sponsor owns it tax-exempt and keeps $1.1M of profit even in the downside, and ATCO earns about $4.8M of fees with no ownership equity.

STRUCTURE	BASE YOC	BASE PROFIT	DOWNSIDE YOC	DOWNSIDE PROFIT	BREAKEVEN?
As underwritten	6.61%	$15.6M	5.43%	−$12.8M	No
GMP contract	6.61%	$15.6M	5.72%	−$7.1M	No
GMP + ground lease	6.66%	$15.3M	5.70%	−$6.9M	No
GMP + operator master lease	5.98%	−$6.4M	5.84%	−$15.0M	No
Fee development for a nonprofit	**7.09%**	**$24.3M**	**6.18%**	**$1.1M**	**Yes**

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Entitled; approval odds 80% (Very likely). Zone change + site plan approved 4-1: 193 IL/AL/MC in converted office + 147 active adult.
Lease-up	24 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Rents run at 0.92x the base rate card, a calibrated estimate. A NIC MAP pull and a rate shop of the competitive set come before LOI.
Taxes	The return depends on a PILOT (fully taxed YOC 6.02%). Close only on a signed term sheet.

NEXT STEPS

1. Call De Pecol: price, approval status, JV terms.
2. Gate 1 · Feasibility by month 3, $0.18M at risk. Counsel confirms the entitled path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 5.5, $0.27M at risk. Staff sees a path; first selectman and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/CT-02. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-CT-02-proforma.xlsx